Deutsche Bank
Research

Rating
Buy

Asia
China

Industrials
Manufacturing

Company
Inovance

Reuters	Bloomberg	Exchange	Ticker
300124.SZ	300124 CH	SHZ	300124

Date
1 September 2026

Forecast Change

Price at 31 Aug 2026 (CNY)	61.87
Price target - 12mth (CNY)	83.00
52-week range (CNY)	88.91 - 58.30
Shanghai Shenzhen CSI 300 Index	4,609

2Q26 aided by strong Automation; 2H26 profits should show better growth

After releasing preliminary results on 24 August, Inovance reported full 2Q26 results on the evening of 28 August and hosted an analyst presentation on 31 August.

Inovance's 2Q26 results came in at the top end of market expectations, driven by a stronger-than-expected performance in the Automation division (sales up +58% YoY), which offset a sluggish NEV segment (where both sales and margins contracted in 2Q26). This performance highlights Inovance's operational resilience at a time when its NEV business faces severe pressure. We highlight several positive catalysts ahead, including: (1) further price increases in the Automation division to protect profitability; (2) improved YoY net profit growth in 2H26E off a low base in 2H25; and (3) long-term growth opportunities from new business areas spanning humanoid robotics, digital energy, AI data centre products, and AI solutions. Inovance currently trades at a 2026E P/E of 28.3x and a 2027E P/E of 23.6x, approximately one standard deviation below its long-term average one-year-forward P/E of 34x. We adjust our estimates, reiterate our Buy recommendation and slightly raise our target price to RMB83.

2Q26: More resilient than feared as strong Automation offset sluggish NEV

2Q26 more resilient than feared. In 2Q26, Inovance achieved revenue of RMB14.5bn (+26% YoY) and net profit of RMB1.79bn (+9% YoY). This came in at the top end of buy-side expectations of RMB1.6–1.8bn (based on our conversations), which were relatively undemanding ahead of the print given the well-known headwinds for the NEV business. GPM improved 0.6ppts YoY to 30.2% on a more favourable revenue mix in the higher-margin Automation business. Excluding the NEV business, underlying net profit grew at a robust 33% YoY in 2Q26.

Automation ahead of expectations. Automation sales reached RMB6.7bn in 2Q26, growing a strong 58% YoY, ahead of our forecast of +45% and MIR data of over +30%. This also surpassed its order growth of ~40%, indicating that Inovance successfully ramped up production in 2Q26 to clear the backlog accumulated during 1Q26. GPM remained flat YoY at 41.4% in 1H26, as higher sales volumes and price hikes successfully offset cost inflation.

Valuation & Risks

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Key changes

TP	82.00 to 83.00	↑	1.2%
Sales (FYE)	54,634 to 54,772	↑	0.3%
Op prof margin (FYE)	11.4 to 12.2	↑	6.5%
Net profit (FYE)	5,776.6 to 5,911.1	↑	2.3%

Source: Deutsche Bank

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NEV business worse than feared. NEV sales declined -1% YoY to RMB5.2bn in 2Q26. Profitability remained under pressure, with GPM contracting further to 12.5% in 2Q26, down -3ppts YoY and -0.8ppts QoQ. Impacted by asset impairments and an overdue tax payment of RMB111mn, the NEV segment recorded a net loss of RMB137mn in 2Q26.

Refer to Figure 1 for detailed 2Q26 and 1H26 results.

Outlook: 10-30% YoY revenue and net profit growth for 2026 reiterated

Management **reiterated its targets of 10-30% YoY growth for both revenue and net profit for 2026**. For **3Q26**, management is guiding for **GPM to improve YoY** from its low point in 3Q25, as the higher-margin Automation segment is expected to account for a larger share of total revenue.

Separately, Inovance has set **a net profit target of RMB5.9bn (+17% YoY) for 2026** as part of its long-term incentive programme. Inovance establishes these targets annually on a rolling basis. We note that the company missed its targets from 2023 through 2025.

We forecast group revenue of RMB54.78bn (+21% YoY) and net profit of RMB5.9bn (+17% YoY; 10.8% NPM) for 2026.

Automation: Confident about continued positive outlook, although growth rate to moderate from the high in 2Q26

Inovance's automation orders grew a strong ~40% YoY in 1H26, driven by: (1) AI-driven demand across electronics, smartphones, machine tools, HVAC, and batteries; (2) localisation efforts in the automotive and semiconductor sectors; and (3) export-led demand from traditional end markets, such as plastic injection moulding machines, textiles, and air compressors. Refer to Figure 5 for Inovance's Automation orders vs revenue growth history.

Management expects demand in the Chinese Automation market to remain firm over 2H26 and 2027, although growth rates could moderate from the peak seen in 2Q26, when sales growth of +58% YoY benefited from expanded capacity and robust demand in March and April. We have highlighted the potential for slower market growth in 2H26 multiple times in our China Automation Market Monthly Tracker (link to report).

Following two rounds of price increases in January and March, **Inovance is planning further price hikes in 2H26** as input costs continue to rise.

We forecast +36% YoY revenue growth for the Automation business, alongside a +0.8ppt GPM improvement in 2026.

NEV: Disappointing 2Q26; pressure to ease in 2H26

Both the sales decline and the margin contraction in the NEV business missed already-low expectations in 2Q26. Management attributed this to: (1) weaker-than-expected volumes from its top customers; (2) limited flow-through benefits to Inovance from robust NEV exports; (3) delayed deliveries amid difficult pricing

negotiations; (4) elevated costs; and (5) a RMB111mn overdue tax payment.

Management believes **margin pressure should ease in 2H26** compared to 1H26, supported by: (1) the pass-through of price increases to select customers; (2) the absence of further overdue tax payments; and (3) growth contributions from electric-drive clients in Europe and smart-chassis customers.

Refer to Figure 11 for detailed financials of Inovance's Automotive (NEV) business.

We forecast +12% YoY revenue growth for the NEV business and a GPM of 12.5%, representing contraction of 3.6ppts YoY in 2026.

Humanoid robot: Targeting practical uses in factories

Inovance's product portfolio for humanoid robots include frameless motors, drives, encoders, screws, linear and rotary actuators and seven-degrees-of-freedom robot arms.

For the components, Inovance **has received nominations** from local humanoid robot makers and **has shipped motors** in small volumes to customers.

For robot arms, Inovance is confident about the quality as the arms are equipped with liquid cooling and suitable for industrial use. **These robotic arms are undergoing testing.**

In terms of embodied AI, Inovance is **testing its robots for various industrial use cases.** The company is currently **focusing on wheeled platforms and robotic arms rather than bipedal configurations**. Given existing bottlenecks—such as the limited generalisation capabilities of large AI models and necessary refinements in mechanical control—management believes the commercial business case for humanoid robots remains unproven; Inovance plans to focus on vertical settings like industrial factories for the time being.

As China's largest Automation component manufacturer and China's top-four industrial robot maker with a comprehensive product portfolio, we think Inovance is well positioned to become a prominent supplier for humanoid and AI robots in China over time.

AI: Embedding hardware with AI and providing an AI platform

Inovance is adopting AI in two ways:

1. **Integrating hardware with AI:** Inovance is embedding AI capabilities directly into its hardware, such as PLCs (utilising AI for assisted programming) and industrial robots (enabling teach-free programming).
2. **Providing an AI platform:** Inovance has developed its proprietary "Inovance Industrial Intelligent Brain (iFG)" platform. The iFG platform integrates operational data, models (sourced from third-party vendors), and intelligent agents, allowing customers to leverage Inovance's deep industrial know-how to develop custom automation solutions.

We feel that it is still early days for Inovance to promote its AI solutions. In contrast,

we think its peer **Supcon** started its AI initiatives much earlier and has a clearer path towards monetisation — Supcon targets RMB800mn-1bn revenue from Industrial AI in 2026 and achieved RMB385mn in 1H26. We believe Inovance should benefit from the industrial data it possesses and its industrial know-how in linking AI with the physical world. We will monitor its progress closely.

Digital energy: A top-five supplier for medium- to high-power PCS globally, mainly targeting the overseas market

Inovance supplies power conversion systems (PCS). In 2025, the company generated RMB500mn revenue from this business. Frost & Sullivan reckons Inovance is **the fifth-largest supplier of medium- to high-power PCS globally** by shipment volume in 2025, with **a market share of 7%**. The company announced on 17 November that it has commissioned a new plant for PCS in Xi'an. The designed capacity is 50GW and could contribute RMB10bn to revenue. Additionally, Inovance has the capability for energy management for commercial and industrial customers.

In terms of energy storage, Inovance shipped 10GW and over 1GWh of storage in 2025. It established model points in 20+ countries in 2025 and plans to further expand the business.

Given the competitive landscape in China, Inovance is **selective regarding domestic energy storage projects, and focuses mainly on the overseas market**, as the latter offers higher GPM than the domestic market. Overall, the digital energy business has lower margins than the robotics business; GPM of the combined two businesses was 28.4% in 1H26.

AI Data Centre: Supplying PSU, and developing SST

Regarding power supply units (PSU) for data centres, Inovance is still in the prototype trial production stage and undergoing communication/discussions with customers.

It is also developing solid-state transformers (SST). Management sees opportunities in energy management considering its leading place in inverters.

HK listing in progress to raise funds for international expansion

Inovance disclosed its prospectus for the HK listing on 28 April. News media report that the company is **looking to raise US$2bn**. Management indicated that the purposes of the listing are to (1) establish Inovance's brand overseas and (2) to fund potential overseas acquisitions.

Although NEV was the main revenue contributor for the overseas business in 2025, management believes **Automation will be the key driver** for the overseas business over the long term.

Tweaking estimates; target price to RMB83

We **tweak our 2026/27/28 net profit** forecasts by +2%/ +1%/ 0%, respectively.



We nudge up our DCF-derived **target price to RMB83 from RMB82** to reflect our slightly higher earnings estimates. Our target price of RMB83 comprises (1) RMB79.2 per share, based on a three-stage DCF of the underlying business, and (2) RMB3.8 per share from humanoid robot contribution totalling ~RMB10bn. We use a terminal growth rate of 3.5% given the structural growth in the automation and NEV market. We use a risk-free rate of 1.8%, an equity risk premium of 5%, and a beta of 1.2 to derive our WACC of 7.7%.

Inovance is trading on **2026E P/E of 28.3x and 2027E P/E of 23.6x**, approximately one standard deviation below its **average long-term one-year-forward P/E of 34x.**

Downside risks include: 1) slow automation market growth; 2) lack of share gain by Inovance in the Automation business; 3) severe price pressure weighing on margins; and (4) a slow NEV market and resultant pressure on automotive sales and profitability.

Figure 1: Inovance delivered +26% YoY sales and +9% net profit growth in 2Q26, lifted by strong performance in the Automation business, whilst NEV was soft

(Rmb' mn)	2024	1Q25	2Q25	1H25	3Q25	4Q25	2H25	2025	1Q26	2Q26	1H26 Act	1H26 DBe	Act vs DBe
General servo	5,600	1,720	1,980	3,700	1,640	1,510	3,150	6,850	2,096	2,704	4,800		
YoY	-7%	32%	16%	23%	26%	16%	21%	22%	22%	37%	30%		
General inverter	5,200	1,280	1,420	2,700	1,350	1,650	3,000	5,700	1,242	2,058	3,300		
YoY	0%	42%	-11%	8%	13%	10%	11%	10%	-3%	45%	22%		
PLC&HMI	1,300	420	480	900	390	510	900	1,800	535	865	1,400		
YoY	-19%	40%	23%	30%	26%	70%	48%	38%	27%	80%	56%		
General Automation	13,740	3,756	4,269	8,025	3,895	4,980	8,875	16,900	4,252	6,748	11,000		
YoY	-1%	31%	9%	18%	26%	29%	28%	23%	14%	58%	36%		
%	37%	42%	37%	39%	35%	37%	36%	37%	42%	46%	45%		
Elevator Parts	4,900	960	1,347	2,307	1,293	1,600	2,893	5,200	1,031	1,369	2,400		
YoY	-8%	7%	-6%	-1%	2%	23%	13%	6%	8%	2%	5%		
%	13%	11%	12%	11%	12%	12%	12%	12%	10%	9%	10%		
Industrial Automation and Digitalization	18,727	4,716	5,616	10,332	5,188	6,580	11,768	22,245	5,311	8,155	13,466		
YoY	-3%	25%	5%	13%	19%	28%	24%	19%	13%	45%	29%		
%	51%	53%	49%	50%	47%	49%	48%	49%	52%	56%	55%		
NEV Powertrain Systems	16,080	3,783	5,217	9,000	5,400	5,923	11,323	20,323	4,237	5,170	9,407		
YoY	72%	64%	41%	50%	23%	4%	12%	26%	12%	-1%	4%		
%	43%	42%	45%	44%	48%	44%	46%	45%	42%	36%	38%		
Emerging Industries	1,550	370	377	747				1,795	489	978	1,467		
YoY	52%							16%	32%	159%	96%		
%	4%	4%	3%	4%				4%	5%	7%	6%		
Revenue	**37,041**	**8,978**	**11,531**	**20,509**	**11,153**	**13,442**	**24,595**	**45,105**	**10,143**	**14,532**	**24,675**	**25,040**	**-1%**
Revenue YoY%	22%	38%	19%	27%	21%	15%	18%	22%	13%	26%	20%	22%	
Industrial Automation and Digitalization	7,232			4,271			4,688	8,959			5,571		
Gross margin	38.6%			41.3%			39.8%	40.3%			41.4%		
NEV Powertrain Systems	2,633	683	833	1,516	780	976	1,757	3,272	561	645	1,206		
Gross margin	16.4%	18.0%	16.0%	16.8%	14.4%	16.5%	15.5%	16.1%	13.2%	12.5%	12.8%		
Emerging business	493			252			256	509			416		
Gross margin	31.8%			33.8%			24.5%	28.3%			28.4%		
Gross profit	**10,632**	**2,782**	**3,418**	**6,199**	**3,068**	**3,793**	**6,861**	**13,060**	**2,949**	**4,389**	**7,339**	**7,175**	**2%**
Gross margin	28.7%	31.0%	29.6%	30.2%	27.5%	28.2%	27.9%	29.0%	29.1%	30.2%	29.7%	28.7%	
Gross profit YoY	4%	24%	18%	21%	12%	38%	25%	23%	6%	28%	18%	16%	
Selling expense	(1,481)	(326)	(348)	(674)	(372)	(489)	(862)	(1,536)	(315)	(408)	(723)		
Selling exp as % of sales	4.0%	3.6%	3.0%	3.3%	3.3%	3.6%	3.5%	3.4%	3.1%	2.8%	2.9%		
Selling exp YoY	-24%	-23%	-21%	-22%	-23%	258%	39%	4%	-3%	17%	7%		
Admin expense	(1,541)	(402)	(428)	(830)	(432)	(563)	(995)	(1,825)	(465)	(534)	(999)		
Admin exp as % of sales	4.2%	4.5%	3.7%	4.0%	3.9%	4.2%	4.0%	4.0%	4.6%	3.7%	4.1%		
Admin exp YoY	19%	19%	18%	18%	15%	21%	18%	18%	16%	25%	20%		
R&D expense	(3,147)	(890)	(1,076)	(1,966)	(1,028)	(1,262)	(2,290)	(4,256)	(1,007)	(1,219)	(2,226)		
R&D exp as % of sales	8.5%	9.9%	9.3%	9.6%	9.2%	9.4%	9.3%	9.4%	9.9%	8.4%	9.0%		
R&D exp YoY	20%	13%	57%	33%	40%	34%	37%	35%	13%	13%	13%		
Operating income (reported)	**4,626**	**1,421**	**1,776**	**3,197**	**1,275**	**964**	**2,239**	**5,436**	**1,069**	**1,981**	**3,049**	**3,048**	**0%**
Operating margin (reported)	12.5%	15.8%	15.4%	15.6%	11.4%	7.2%	9.1%	12.1%	10.5%	13.6%	12.4%	12.2%	
Operating income (reported) yoy	-7%	72%	24%	42%	-9%	-1%	-5%	18%	-25%	11%	-5%	-5%	
Net profit	**4,285**	**1,323**	**1,646**	**2,969**	**1,285**	**796**	**2,081**	**5,050**	**1,013**	**1,796**	**2,810**	**2,888**	**-3%**
Net margin (reported)	11.6%	14.7%	14.3%	14.5%	11.5%	5.9%	8.5%	11.2%	10.0%	12.4%	11.4%	11.5%	
Net profit YoY%	-10%	63%	26%	40%	4%	-15%	-4%	18%	-23%	9%	-5%	-3%	
Non-recurring item	250	89	208	297	69	(266)	(197)	99	(32)	86	54		
Recurring net profit	**4,036**	**1,234**	**1,438**	**2,672**	**1,217**	**1,062**	**2,279**	**4,951**	**1,046**	**1,710**	**2,756**		
Recurring net profit margin	10.9%	13.7%	12.5%	13.0%	10.9%	7.9%	9.3%	11.0%	10.3%	11.8%	11.2%		
Recurring net profit YoY%	-1%	56%	13%	29%	14%	18%	16%	23%	-15%	19%	3%		
Net profit - NEV	**885**	**310**	**209**	**519**	**230**	**284**	**514**	**1,032**	**40**	**(114)**	**(73)**		
Net margin - NEV	5.8%	8.5%	4.2%	6.0%	4.5%	5.5%	4.5%	5.6%	1.1%	-2.6%	-0.9%		
YoY (Net profit - NEV)	259%	0%	0%	93%	-16%	-17%	-17%	17%	-87%	-154%	-114%		
% of group net profit (Net profit - NEV)	21%	23%	13%	17%	18%	36%	25%	20%	4%	-6%	-3%		
Net profit - Non-NEV	**3,401**	**1,013**	**1,437**	**2,450**	**1,056**	**512**	**1,568**	**4,018**	**973**	**1,910**	**2,883**		
Net margin - Non-NEV	16.2%	19.7%	23.1%	21.6%	18.3%	7.0%	12.0%	16.5%	16.6%	20.5%	19.0%		
YoY (Net profit - non-NEV)	-24%	0%	0%	32%	10%	-13%	1%	18%	-4%	33%	18%		
% of group net profit (Net profit - non-NEV)	79%	77%	87%	83%	82%	64%	75%	80%	96%	106%	103%		
Operating Cash Flow	**7,200**	**263**	**2,758**	**3,020**	**911**	**2,750**	**3,661**	**6,681**	**94**	**1,881**	**1,975**		
OCF YoY	114%	865%	53%	65%	-55%	-18%	-32%	-7%	-64%	-32%	-35%		
OCF as % of net profit	168%	20%	168%	102%	71%	346%	176%	132%	9%	105%	70%		

Source : Company data, Deutsche Bank

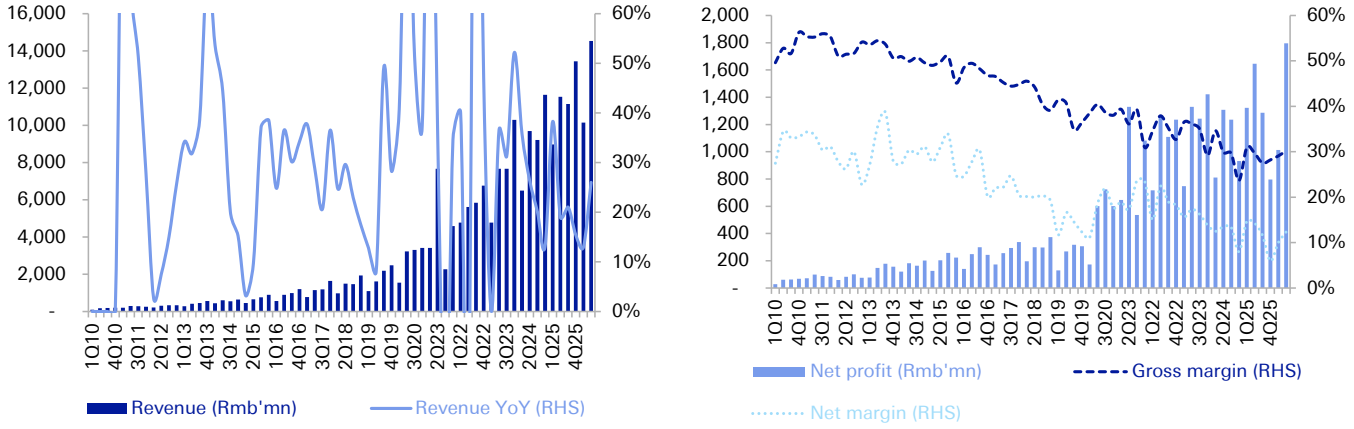
Figure 2: SOTP valuation suggests the non-NEV business is trading on 24-25x 2026E P/E, below Inovance's long-term average of 34x

SOTP valuation - Implied valuation for Automation business based on the current market cap of Inovance Automotive

	2026E (RMB mn)							Valuation	% held by	For Inovance
	Sales	%	Net profit	%	NPM	P/S	P/E	Standalone	Inovance Tech	Tech
Automation and others	32,010	58%	5,559	94%	17.4%	4.3x	24.6x	136,521	100%	136,521
Inovance Automotive (联合动力)	22,761	42%	423	7%	1.9%	1.6x	85.3x	36,072	83%	30,001
Inovance Technology (Group)	**54,772**	**100%**	**5,911**	**100%**	**10.8%**	**3.0x**	**28.2x**	**166,522**	**100%**	**166,522**

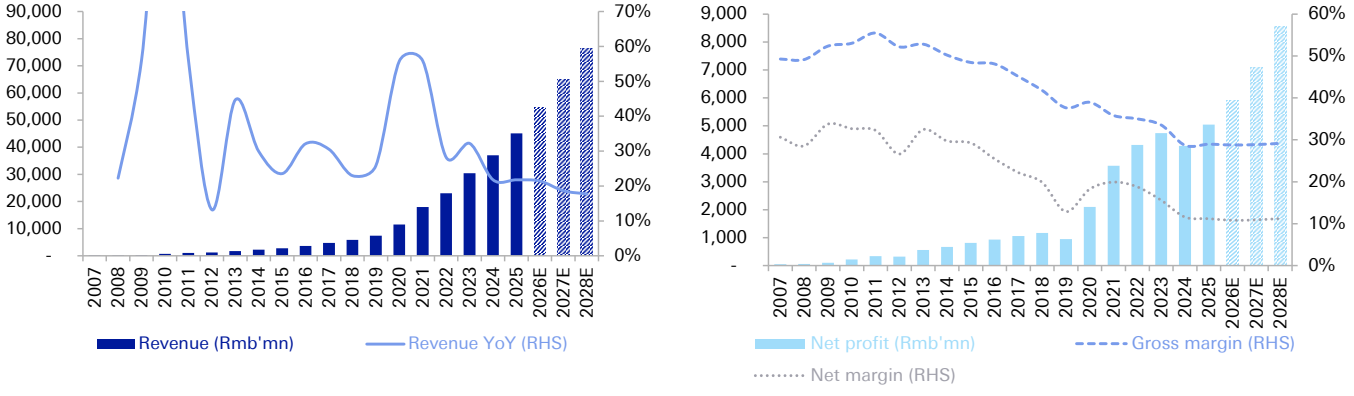
Source : Deutsche Bank estimates

Figure 3: Financials (quarterly): Inovance sales hit a record high in 2Q26; margins improved sequentially



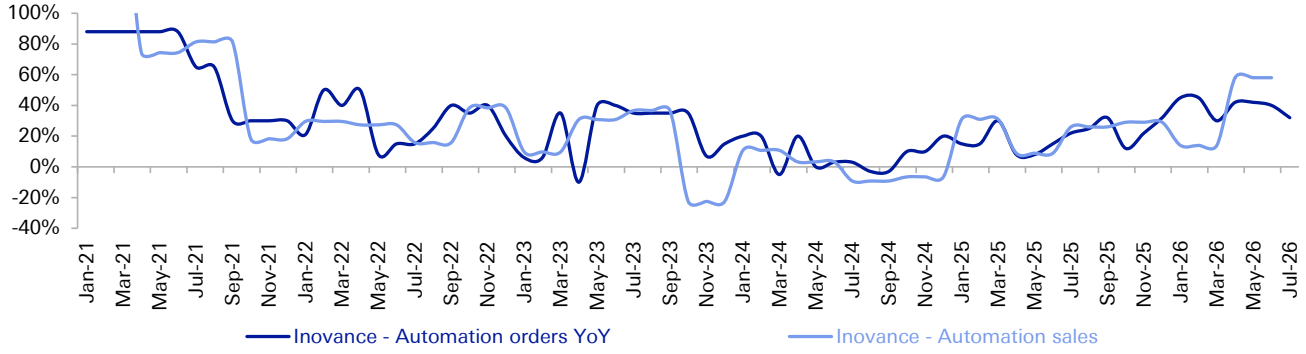
Source : Company data, Deutsche Bank

Figure 4: Financials (annual): We forecast Inovance's sales and net profit to reach a record high in 2026



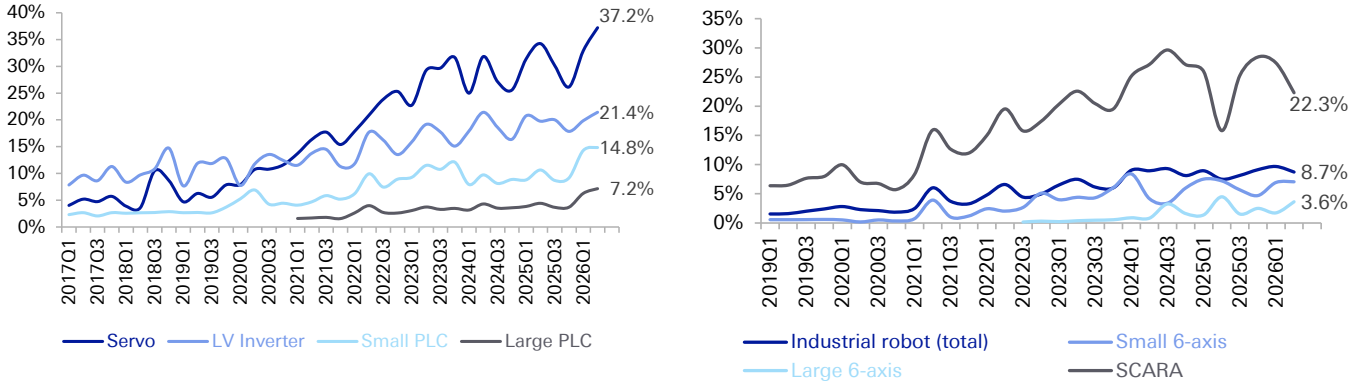
Source : Company data, Deutsche Bank

Figure 5: Automation order growth slowed to over +30% YoY in July 2026, below 1H26 at ~40%



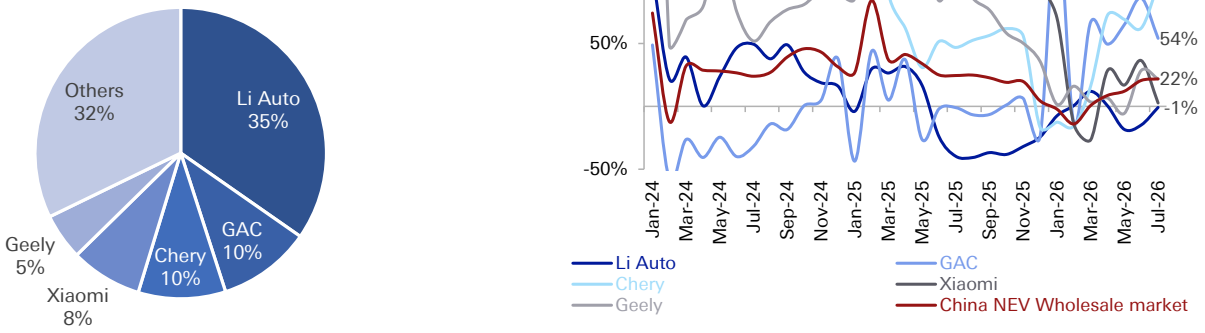
Source : Company data, Deutsche Bank

Figure 6: Inovance's market share in China – share improved qoq for automation products and large 6-axis robots in 2Q26, but decreased qoq for SCARA robots



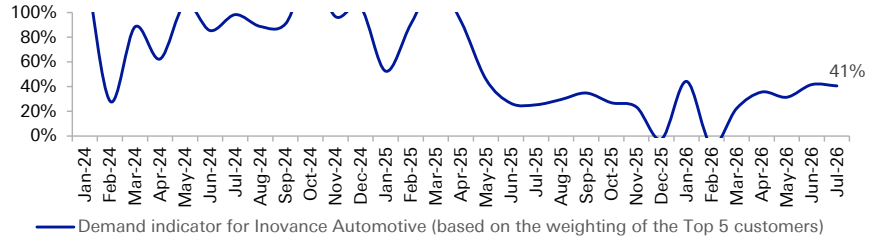
Source : MIR, Deutsche Bank

Figure 7: Inovance Automotive: Revenue from top five customers in 2024 (LHS); YoY growth of wholesales NEV unit by brand



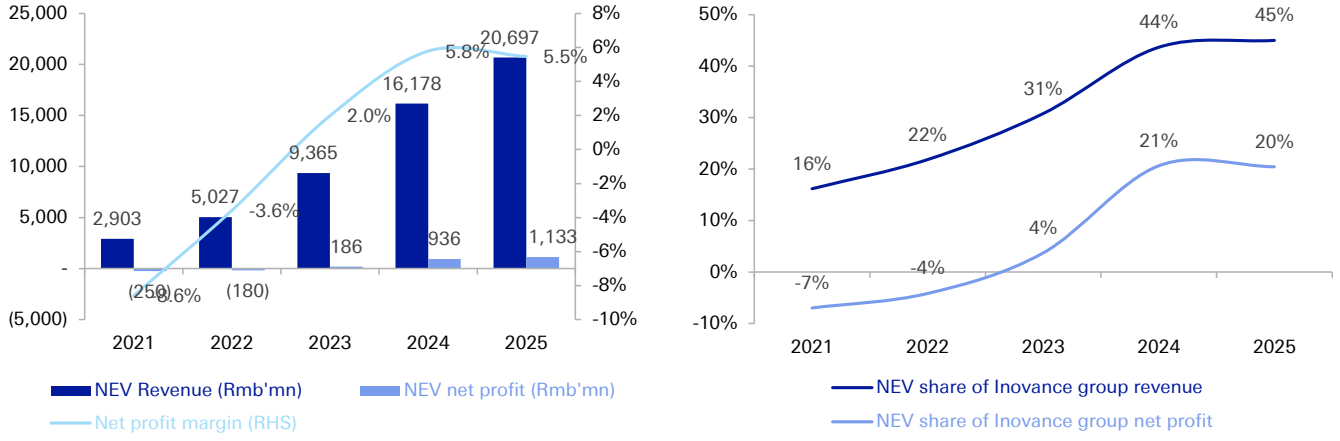
Source : Deutsche Bank, company data, ThinkerCar

Figure 8: Demand indicator for Inovance Automotive (YoY growth of car wholesale unit)



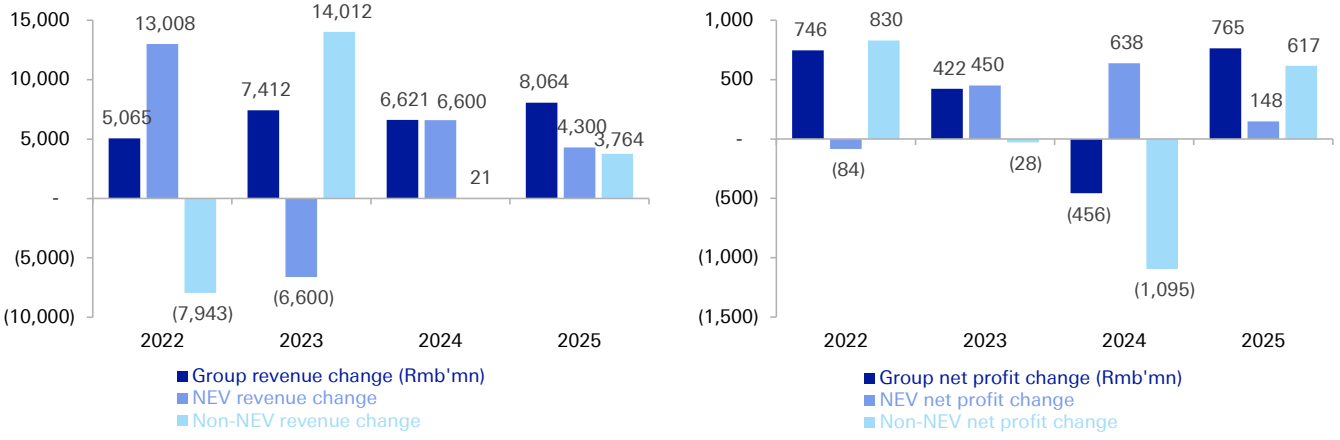
Source : Deutsche Bank, company data, ThinkerCar

Figure 9: NEV accounted for 45% of group sales and 20% of group net profit in 2025



Source : Company data, Deutsche Bank

Figure 10: NEV was the key net profit and revenue contributor in 2023 and 2024 for Inovance group but was overtaken by the core non-NEV business in 2025



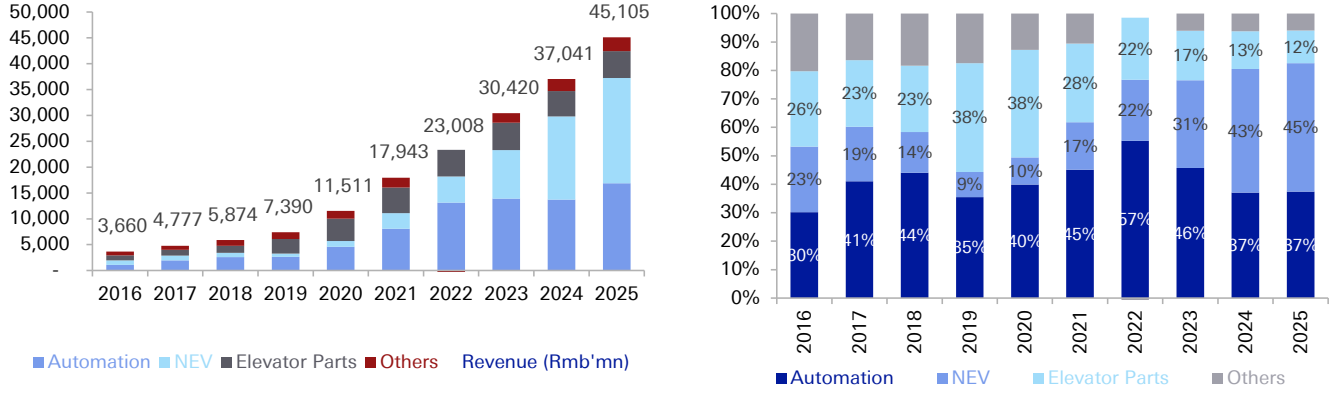
Source : Company data, Deutsche Bank

Figure 11: Financial details of the NEV business (Inovance Automotive)

联合动力 Inovance Automotive (in Rmb'mn) Source	2019 Report	2020 Report	2021 Prospectus	2022 Prospectus	2023 Prospectus	2024 Prospectus	2025 Report	1Q26 Report	2Q26 Report	1H26 Report
Revenue	**652**	**1,102**	**2,903**	**5,027**	**9,365**	**16,178**	**20,697**	**4,279**	**5,234**	**9,512**
Revenue yoy	-22.5%	69.0%	163.4%	73.2%	86.3%	72.7%	27.9%	11.2%	-1.3%	4.0%
COGS			(2,567)	(4,356)	(7,945)	(13,498)	(17,339)	(3,712)	(4,583)	(8,295)
Gross profit			**336**	**671**	**1,420**	**2,680**	**3,358**	**567**	**650**	**1,217**
Gross margin			**11.6%**	**13.4%**	**15.2%**	**16.6%**	**16.2%**	**13.2%**	**12.4%**	**12.8%**
Business tax			(2)	(7)	(21)	(43)	(69)	(10)	(14)	(24)
VAT as % of sales			0.1%	0.1%	0.2%	0.3%	0.3%	0.2%	0.3%	0.3%
Selling expense			(49)	(58)	(79)	(97)	(141)	(28)	(29)	(57)
Selling exp as % of sales			1.7%	1.2%	0.8%	0.6%	0.7%	0.7%	0.6%	0.6%
Selling exp YoY			n/a	20.3%	35.9%	21.7%	46.0%	8.9%	-26.4%	-12.3%
Admin expense			(122)	(163)	(249)	(368)	(500)	(117)	(121)	(238)
Admin exp as % of sales			4.2%	3.2%	2.7%	2.3%	2.4%	2.7%	2.3%	2.5%
Admin exp YoY			n/a	33.9%	52.8%	47.6%	36.0%	9.9%	-10.6%	-1.5%
R&D expense			(392)	(572)	(626)	(908)	(1,338)	(337)	(329)	(666)
R&D exp as % of sales			13.5%	11.4%	6.7%	5.6%	6.5%	7.9%	6.3%	7.0%
R&D exp YoY			n/a	46.0%	9.4%	45.2%	47.3%	24.3%	-9.0%	5.3%
Finance cost			9	(9)	7	(14)	10	(13)	(3)	(15)
Asset impairment			(70)	(170)	(431)	(425)	(324)	(87)	(239)	(326)
Asset impairment as % of sales			2.4%	3.4%	4.6%	2.6%	1.6%	2.0%	4.6%	3.4%
Joint venture and asso			-	(4)	1	24	16	3	(5)	(2)
Other investment income			1	2	10	18	41	12	31	42
Fair value changes			0	(5)	7	0	5	5	(7)	(2)
Other gains and losses			2	28	88	123	96	24	(98)	(75)
Operating income			**(287)**	**(286)**	**127**	**990**	**1,154**	**17**	**(164)**	**(147)**
Operating margin			**-9.9%**	**-5.7%**	**1.4%**	**6.1%**	**5.6%**	**0.4%**	**-3.1%**	**-1.5%**
Operating income yoy			n/a	-0.3%	-144.3%	680.3%	16.6%	-95.0%	-172.0%	-125.8%
Non-operating income			1	7	3	3	2	1	0	1
Non-operating expense			(2)	(1)	(7)	(21)	(4)	(1)	(0)	(1)
Profit before tax			**(288)**	**(280)**	**122**	**972**	**1,153**	**16**	**(163)**	**(147)**
Tax			39	100	64	(36)	(19)	32	27	59
Tax rate			13.4%	35.7%	-52.1%	3.7%	1.7%	-195.2%	16.4%	40.0%
Net profit	**(350)**	**(250)**	**(250)**	**(180)**	**186**	**936**	**1,133**	**49**	**(137)**	**(88)**
Net margin (reported)	**-53.7%**	**-22.7%**	**-8.6%**	**-3.6%**	**2.0%**	**5.8%**	**5.5%**	**1.1%**	**-2.6%**	**-0.9%**
Net profit yoy			n/a	-27.9%	-203.2%	403.5%	21.1%	-85.2%	-161.8%	-116.0%

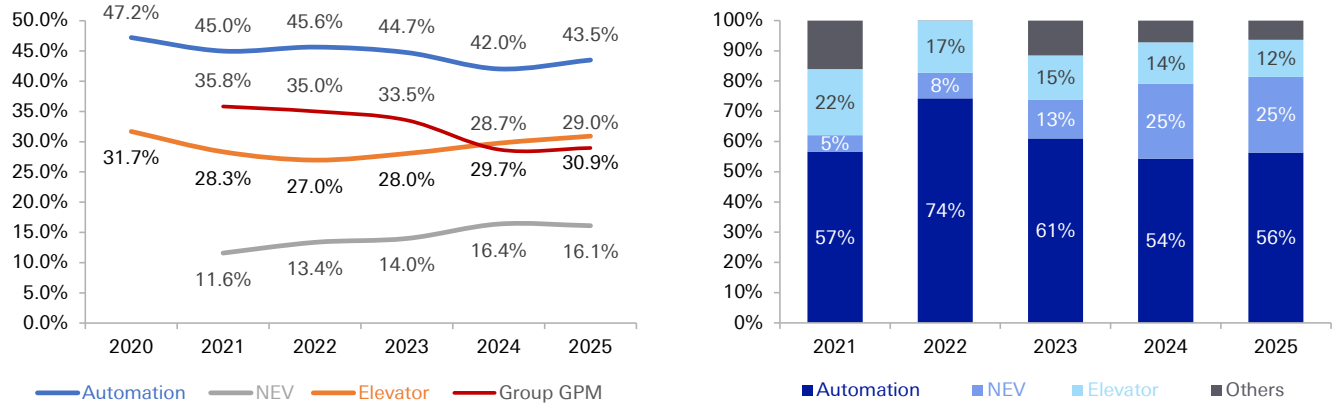
Source : Company data, Deutsche Bank

Figure 12: NEV (45% of group sales) was the largest division in 2025, followed by Automation (37%)



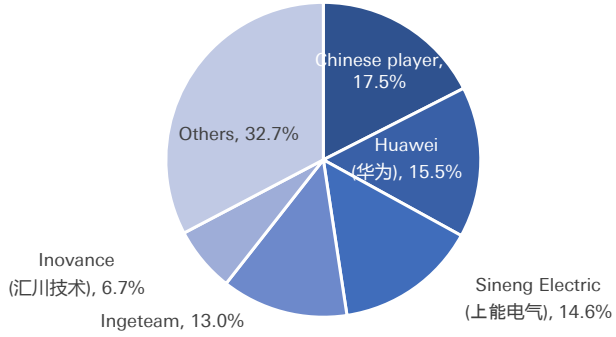
Source : Company data, Deutsche Bank

Figure 13: GPM of Automation and Elevator improved in 2025 but that for NEV remained low



Source : Company data, Deutsche Bank

Figure 14: Market share of medium- to high-power PCS by shipment volume globally in 2025



Source : Company data, Frost & Sullivan, Deutsche Bank

Figure 15: Inovance missed the long-term incentive targets for net profit throughout 2023-25

Rmb'mn	2022	2023	2024	2025	2026E
Net profit:					
Actual result	**4,320**	**4,742**	**4,285**	**5,050**	**5,911**
yoy growth	19%	16%	12%	11%	17%
Long-term incentive target	**4,200**	**5,050**	**5,300**	**5,200**	**5,900**
yoy growth	18%	17%	12%	21%	17%
Actual vs LT incentive target	**3%**	**-6%**	**-19%**	**-3%**	**0%**

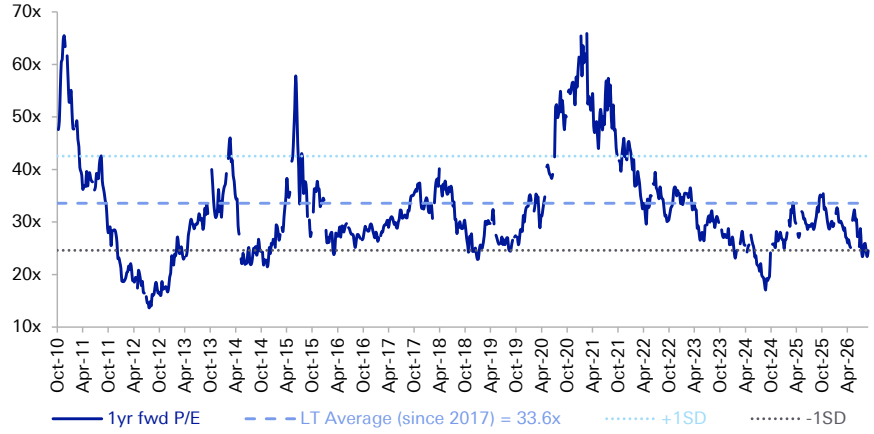
Source : Company data, Deutsche Bank estimates

Figure 16: Estimate changes

(in RMB mn)	2025	DBe 2026E	DBe Old est.	New vs Old est.	BBG cons	DBe vs BBG	DBe 2027E	DBe Old est.	New vs Old est.	BBG cons	DBe vs BBG	DBe 2028E	DBe Old est.	New vs Old est.	BBG cons	DBe vs BBG
Revenue	**45,105**	**54,772**	**54,634**	**0%**	**53,733**	**2%**	**64,981**	**64,407**	**1%**	**62,923**	**3%**	**76,499**	**75,728**	**1%**	**72,992**	**5%**
Revenue YoY%	21.8%	21.4%	21.1%		19.1%		18.6%	17.9%		17.1%		17.7%	17.6%		16.0%	
COGS	(32,045)	(39,015)	(39,189)				(46,218)	(46,051)				(54,186)	(53,756)			
Gross profit	**13,060**	**15,756**	**15,445**	**2%**			**18,762**	**18,356**	**2%**			**22,313**	**21,972**	**2%**		
Gross margin	**29.0%**	**28.8%**	**28.3%**				**28.9%**	**28.5%**				**29.2%**	**29.0%**			
Selling expense	(1,536)	(1,643)	(1,639)				(1,949)	(1,932)				(2,295)	(2,272)			
Admin expense	(1,825)	(2,190)	(2,154)				(2,584)	(2,541)				(3,049)	(2,999)			
R&D expense	(4,256)	(4,929)	(5,081)				(5,848)	(5,990)				(6,885)	(7,043)			
Finance cost	66	(80)	(50)				-	-				-	-			
Asset impairment	(551)	(822)	(613)				(910)	(659)				(994)	(699)			
Other income	714	500	643				550	707				605	778			
Other investment income	212	150	100				165	110				182	121			
Joint venture and asso	(149)	(164)	(164)				(181)	(181)				(199)	(199)			
Fair value changes	(29)	85	15				-	-				-	-			
Operating income (DB)	**5,171**	**6,662**	**6,241**	**7%**			**7,987**	**7,503**	**6%**			**9,621**	**9,201**	**5%**		
Operating margin (DB)	11.5%	12.2%	11.4%				12.3%	11.6%				12.6%	12.2%			
Operating income (reported)	**5,436**	**6,332**	**6,171**	**3%**			**7,612**	**7,481**	**2%**			**9,214**	**9,203**	**0%**		
Operating margin (reported)	12.1%	11.6%	11.3%				11.7%	11.6%				12.0%	12.2%			
Non-operating income	50	55	55				61	61				67	67			
Non-operating expense	(52)	(35)	(35)				(39)	(39)				(42)	(42)			
Profit before tax	**5,433**	**6,352**	**6,192**	**3%**			**7,634**	**7,503**	**2%**			**9,238**	**9,227**	**0%**		
Tax	(261)	(381)	(297)				(458)	(360)				(554)	(443)			
Tax rate	4.8%	6.0%	4.8%				6.0%	4.8%				6.0%	4.8%			
Minority	(123)	(60)	(118)				(83)	(154)				(113)	(202)			
Minority %	2.4%	1.0%	2.0%				1.2%	2.2%				1.3%	2.3%			
Net profit	**5,050**	**5,911**	**5,777**	**2%**	**5,914**	**0%**	**7,094**	**6,990**	**1%**	**7,312**	**-3%**	**8,571**	**8,582**	**0%**	**8,826**	**-3%**
Net margin (reported)	**11.2%**	**10.8%**	**10.6%**		**11.0%**		**10.9%**	**10.9%**		**11.6%**		**11.2%**	**11.3%**		**12.1%**	
Net profit YoY%	17.8%	17.1%	14.4%		17.1%		20.0%	21.0%		23.6%		20.8%	22.8%		20.7%	
Non-recurring items	99	121	121				143	142				169	167			
% of net profit	2.0%	2.0%	2.1%				2.0%	2.0%				2.0%	1.9%			
Recurring net profit	**4,951**	**5,790**	**5,656**	**2%**			**6,950**	**6,848**	**1%**			**8,402**	**8,415**	**0%**		
Recurring net profit margin	**11.0%**	**10.6%**	**10.4%**				**10.7%**	**10.6%**				**11.0%**	**11.1%**			
Reported EPS (Rmb)	**1.85**	**2.18**	**2.13**	**2%**	**2.19**	**0%**	**2.62**	**2.58**	**1%**	**2.71**	**-3%**	**3.17**	**3.17**	**0%**	**3.27**	**-3%**
Reported EPS YoY %	15.6%	18.0%	15.3%				20.0%	21.0%				20.8%	22.8%			
Avg basic no of shares (m)	2,707	2,707	2,707				2,707	2,707				2,707	2,707			
DPS (Rmb)	**0.50**	**0.58**	**0.56**	**2%**	**0.57**		**0.69**	**0.68**	**1%**	**0.71**		**0.83**	**0.84**	**0%**	**0.85**	
Dividend payout%	26.3%	26.3%	26.3%		26.2%		26.3%	26.3%		26.1%		26.3%	26.3%		26.1%	

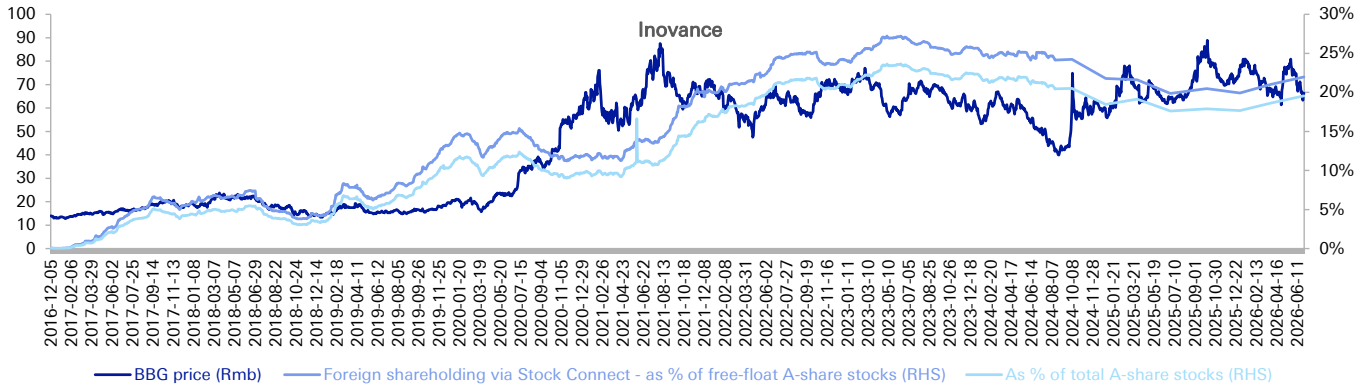
Source : Company data, Deutsche Bank estimates, consensus from Bloomberg Finance LP

Figure 17: Inovance's historical one-year fwd P/E



Source : Bloomberg Finance LP, Deutsche Bank

Figure 18: Foreign shareholding of Inovance



Source: Deutsche Bank, Wind (as of 30/06/2026)

Links to previous reports:

- **China Automation Market Monthly tracker:** July slowed; Likely growth deceleration in 2H26E; K-shaped dynamics continued - 18 Aug 2026
- **Japan machine tool order update:** July 2026 (preliminary) - 12 Aug 2026
- **Humanoid Robot:** Mid-year reality check; Ecosystem flywheel spinning - 10 Aug 2026
- **Rise of Humanoid Robots (IV):** Takeaways from a Chinese humanoid robot expert - 27 Jul 2026
- **Inovance:** 2Q26E preview: Solid sales but profitability pressure from NEV to linger - 23 Jul 2026
- **Foreign shareholding quarterly watch (2Q26):** Sequential improvements led by Hengli and Shuanghuan - 16 Jul 2026
- **Humanoid Robot:** Comparing Unitree, UBTECH, DEEP, Dobot and Leju: Opportunities and risks coexist - 15 Jun 2026
- **Inovance:** Soft 1Q26 dragged by NEV but Automation solid; 2Q26E could improve - 29 Apr 2026
- **Humanoid Robot (III):** Six visions for 2026 – Scaling, iterating and diversifying - 6 Mar 2026
- **China's 15th Five-Year Plan (I):**Innovation and self-reliance; Emerging and future industries - 8 Jan 2026
- **Inovance:** Upgrade to BUY; Opportunities in humanoid robots, energy and digital - 23 Nov 2025
- **Inovance:** 3Q25 profit light; Stronger profit delivery needed to justify upside; Hold - 24 Oct 2025
- **Annual benchmarking of global peers**: Some hopes and some gaps - 17 Sep 2025
- **Newsletter:** Tesla Optimus; Unitree IPO; Nvidia and Hon Hai - 12 Sep 2025
- **China Automation Market Quarterly chartbook:** 2Q25 Growth, market share and outlook - 22 Aug 2025
- **US tariffs (IV):** 90-day tariff cut between the US and China - 12 May 2025
- **Inovance:** Paying for Automation or NEV? Downgrade to Hold - 5 May 2025

- **APAC Automation & Machinery Initiation:** Stay selective; Humanoid robots lift growth prospects – 23 July 2024
- **APAC Industrial Automation Initiation:** Identifying winners amid rising competition from China – 19 Feb 2024

Model updated: 31 August 2026

Running the numbers
Asia
China
Manufacturing

Inovance

Reuters: 300124.SZ Bloomberg: 300124 CH

Buy

Price (31 Aug 26)	CNY 61.87
Target Price	CNY 83.00
52 Week range	CNY 58.30 - 88.91
Market cap (m)	CNYm 167,482 USDm 24,921

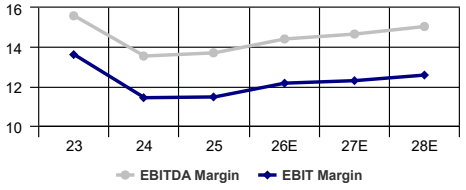
Company Profile

Inovance is split into three key divisions, including Automation (servos, inverters, controllers and robots), Elevator Parts (control solutions for elevators) and New Energy Vehicle & Metro (traction systems). Automation is the largest segment and accounted for 50% of group sales in 2022.

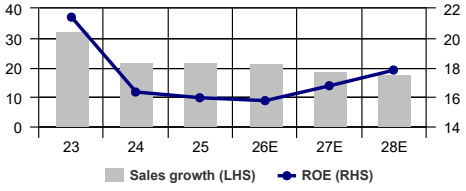
Price Performance



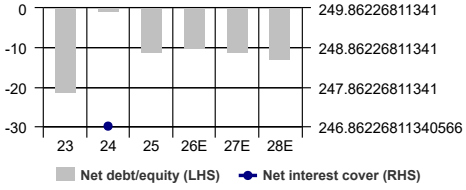
Margin Trends



Growth & Profitibility



Solvency



Iris Zheng, CFA
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Fiscal year end 31-Dec	2023	2024	2025	2026E	2027E	2028E
Financial Summary						
DB EPS (CNY)	1.77	1.59	1.87	2.18	2.62	3.17
Reported EPS (CNY)	1.77	1.59	1.87	2.18	2.62	3.17
DPS (CNY)	0.45	0.41	0.50	0.58	0.69	0.83
BVPS (CNY)	9.1	10.4	13.1	14.7	16.6	18.9
Weighted average shares (m)	2,677	2,692	2,707	2,707	2,707	2,707
Average market cap (CNYm)	176,067	150,343	188,540	167,482	167,482	167,482
Enterprise value (CNYm)	168,789	148,078	183,906	162,924	161,965	160,381
Valuation Metrics						
P/E (DB) (x)	37.1	35.1	37.3	28.3	23.6	19.5
P/E (Reported) (x)	37.1	35.1	37.3	28.3	23.6	19.5
P/BV (x)	6.90	5.63	5.77	4.22	3.73	3.27
FCF Yield (%)	1.9	4.8	3.5	3.7	4.9	5.9
Dividend Yield (%)	0.7	0.7	0.7	0.9	1.1	1.3
EV/Sales (x)	5.5	4.0	4.1	3.0	2.5	2.1
EV/EBITDA (x)	35.6	29.5	29.7	20.6	17.0	13.9
EV/EBIT (x)	40.8	35.0	35.6	24.5	20.3	16.7
Income Statement (CNYm)						
Sales revenue	30,420	37,041	45,105	54,772	64,981	76,499
Gross profit	10,205	10,632	13,060	15,756	18,762	22,313
EBITDA	4,742	5,016	6,182	7,893	9,526	11,509
Depreciation	600	785	1,011	1,230	1,539	1,889
Amortisation	0	0	0	0	0	0
EBIT	4,142	4,232	5,171	6,662	7,987	9,621
Net interest income(expense)	-1	-17	-2	20	22	24
Associates/affiliates	0	0	0	0	0	0
Exceptionals/extraordinaries	859	394	265	-331	-375	-406
Other pre-tax income/(expense)	0	0	0	0	0	0
Profit before tax	5,000	4,609	5,433	6,352	7,634	9,238
Income tax expense	225	262	261	381	458	554
Minorities	34	61	123	60	83	113
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	4,742	4,285	5,050	5,911	7,094	8,571
DB adjustments (including dilution)	0	0	0	0	0	0
DB Net profit	4,742	4,285	5,050	5,911	7,094	8,571
Cash Flow (CNYm)						
Cash flow from operations	3,370	7,200	6,681	6,230	8,218	9,917
Net Capex	0	0	0	0	0	0
Free cash flow	3,370	7,200	6,681	6,230	8,218	9,917
Equity raised/(bought back)	1,119	600	4,317	0	0	0
Dividends paid	-1,131	-1,335	-1,235	-1,557	-1,868	-2,258
Net inc/(dec) in borrowings	-743	-109	-574	0	0	0
Other investing/financing cash flows	-43	-11,557	-5,143	-4,690	-5,309	-5,962
Net cash flow	2,573	-5,200	4,047	-17	1,041	1,697
Change in working capital	-2,412	1,442	-84	-1,792	-1,406	-1,650
Balance Sheet (CNYm)						
Cash and other liquid assets	8,487	3,558	7,033	7,016	8,057	9,754
Tangible fixed assets	4,719	7,041	9,893	12,345	15,041	17,980
Goodwill/intangible assets	2,959	2,961	3,107	3,293	3,457	3,597
Associates/investments	2,459	2,496	2,302	2,302	2,302	2,302
Other assets	30,334	41,122	48,980	55,655	62,111	69,351
Total assets	48,958	57,179	71,314	80,611	90,968	102,984
Interest bearing debt	3,149	3,353	2,919	2,919	2,919	2,919
Other liabilities	20,807	25,396	31,260	36,143	41,193	46,782
Total liabilities	23,957	28,750	34,180	39,062	44,112	49,701
Shareholders' equity	24,482	27,994	35,353	39,707	44,932	51,246
Minorities	519	435	1,782	1,842	1,924	2,037
Total shareholders' equity	25,001	28,429	37,135	41,549	46,856	53,283
Net debt	-5,337	-205	-4,114	-4,097	-5,138	-6,835
Key Company Metrics						
Sales growth (%)	32.2	21.8	21.8	21.4	18.6	17.7
DB EPS growth (%)	9.1	-10.2	17.2	17.1	20.0	20.8
EBITDA Margin (%)	15.6	13.5	13.7	14.4	14.7	15.0
EBIT Margin (%)	13.6	11.4	11.5	12.2	12.3	12.6
Payout ratio (%)	25.4	25.8	26.8	26.3	26.3	26.3
ROE (%)	21.4	16.3	15.9	15.8	16.8	17.8
Capex/sales (%)	0.0	0.0	0.0	0.0	0.0	0.0
Capex/depreciation (x)	0.0	0.0	0.0	0.0	0.0	0.0
Net debt/equity (%)	-21.3	-0.7	-11.1	-9.9	-11.0	-12.8
Net interest cover (x)	nm	246.9	nm	nm	nm	nm

Source: Company data, Deutsche Bank estimates

Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist

Company	Ticker	Recent price*	Disclosure
Inovance	300124.SZ	62.05 (CNY) 28 Aug 2026	2

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors . Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at https://research.db.com/Research/Disclosures/EquityResearchDisclosures. Aside from within this report, important risk and conflict disclosures can also be found at https://research.db.com/Research/Disclosures/Disclaimer. Investors are strongly encouraged to review this information before investing.

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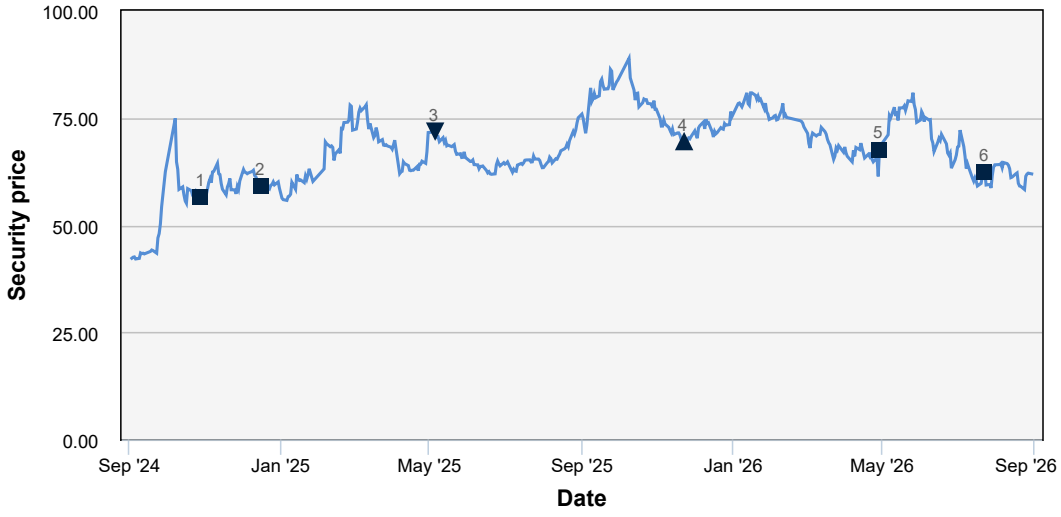
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Historical recommendations and target price: Inovance (300124.SZ)

(as of 08/31/2026)



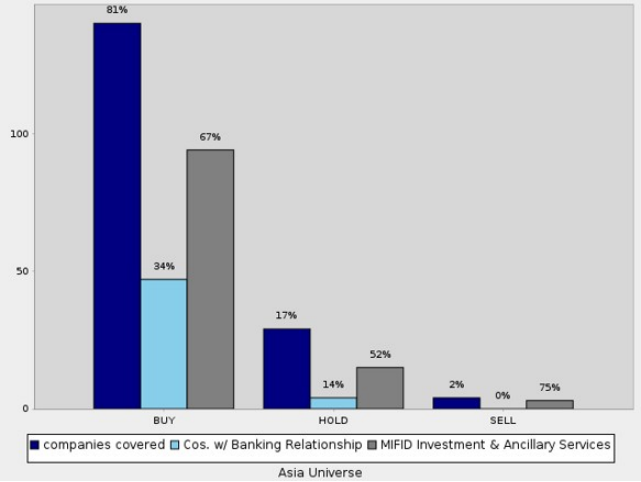
Current Recommendations

Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

1.	10/29/2024	Buy, Target Price Change CNY 67.40, Current Price CNY 56.46 Iris Zheng, CFA
2.	12/17/2024	Buy, Target Price Change CNY 75.70, Current Price CNY 59.22 Iris Zheng, CFA
3.	05/06/2025	Downgraded to Hold, Target Price Change CNY 80.00, Current Price CNY 71.79 Iris Zheng, CFA
4.	11/23/2025	Upgraded to Buy, Target Price Change CNY 83.90, Current Price CNY 69.60 Iris Zheng, CFA
5.	04/29/2026	Buy, Target Price Change CNY 84.00, Current Price CNY 67.59 Iris Zheng, CFA
6.	07/23/2026	Buy, Target Price Change CNY 82.00, Current Price CNY 62.36 Iris Zheng, CFA

Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the “buy” / “Companies Covered” bar means that 50% of DB’s equity research covered companies over the past 12 months have a “buy” rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

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TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

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